Martin Escobari: Trauma, Chaos & Three Industries Worth $100B | Nikhil Kamath | People by WTF

(0:16 - 0:44)

I caught up with some kids from Columbia University, eclectic kids, some from Brazil, some from a bunch of really interesting different places. Next question, what scares you today about the future? I love this question. Would you like to take it? I mean, for me, again, the uncertainty is something that I am very scared of.

(0:44 - 0:59)

Like, as of today, I think I'll have a stable job after my school and, like, that's good. Probably I'll pay my tuition fee back. But again, I don't know whether the space that I'm going in is the right space.

(1:00 - 1:10)

Because I don't exactly know what's changing in the future. So that's one thing that I'm scared about. I would say I'm scared of a world where countries are less friendly to each other.

(1:10 - 1:30)

I think that I'm from South Africa, as I said before, and, you know, we were just in South Africa recently on a trip with meeting with business leaders and they were telling us all these collaborations they have with American companies. So I really think that that kind of collaboration is what makes the world a better place. It's what makes all of us better off.

(1:30 - 1:48)

So I'm really afraid of where the world is going, where countries are becoming more insular. Would you like to go next? Yeah, I mean, I think for me, I worry most about climate change and I worry about rising inequality. I think the sentiments you're expressing, I'm very worried about.

(1:48 - 2:08)

But to me, part of the root cause is rising inequality. And those two things coming from a society that had really extreme inequality. Your social health, your quality of life in some ways is much, much worse as a result of living in a society where people have some, a small minority has a lot and the majority has very little.

(2:08 - 2:34)

It makes me concerned about how well I can live here in the long term. No, what scares me the most, and I think everyone said very similar things, is that our current leaders do not have a moral

compass. And our leaders should collectively be pushing back on some of the things that have happened in the past years.

(2:35 - 2:51)

And that there is no moral obligation, it seems like anymore. And I find that to be a real disappointment, not only in this country, but globally. And we should look to our current leaders and say, and hold them accountable.

(2:52 - 3:10)

Like, what are you doing? And so that's kind of what I'm scared of. With Nikhil, what are you scared of? I think the world feels like it's breaking. Two hot wars, trade is collapsing.

(3:10 - 3:22)

The rules that held the world together for 80 years are being rewritten. This is a conversation about survival. Not the survival of a startup, but the survival of an entire generation.

(3:23 - 3:34)

Martin Escobar knows what chaos looks like. He grew up in Bolivia in the 1980s. 35,000% inflation, 11 presidents in 10 years.

(3:34 - 3:51)

His family lost everything in a revolution. He moved to Brazil, built through crisis, studied what separates great companies from the ones that don't make it. Martin is the co-president of General Atlantic, one of the largest growth equity funds in the world.

(3:52 - 4:00)

Later, I bring in Aryan. He's 21, grew up in Mumbai. Cold emailed Sam Altman.

(4:00 - 4:10)

Got a meeting, moved to SF, started a company. I wanted to put them together and ask two questions. Let's start with the most important question.

(4:10 - 4:21)

One, personal. What does it take to survive chaos? Can it be taught? And one for India. We have a billion and a half people.

(4:22 - 4:47)

More engineers than anywhere. More capital than before. Why have we never produced a truly global company? What's broken and what would it take to fix it? Start? All right.

(4:49 - 5:09)

Let's do it. How do I say your name? Is it Martin or Martine? Martine. Martine.

(5:09 - 5:19)

In India, they call me Martin. But you should call me Martine. Have you ever gotten into trouble for your last name? Through an airport, maybe? Oh, many a time.

(5:19 - 5:41)

Yeah? No. So Escobar and Escobardi are different last names. One time, when an immigration officer of a country that I will not disclose said, are you related to Pablo? And I corrected him that it's a completely different person.

(5:42 - 5:47)

He didn't think that was funny. So he sent me to the middle room. Two hours later, I was fine.

(5:48 - 6:02)

How are you such a happy person? What is going on? How am I such a happy person? Life is too short. So I don't take myself too seriously. I take my work very seriously.

(6:02 - 6:09)

I take my family life very seriously. But I don't take myself very seriously. And I try to enjoy every second.

(6:09 - 6:19)

We have so few. Has this been the case for a long time? Or is this a revelation you had at some point in time? It's gotten better over time. And I have to credit my wife.

(6:20 - 6:30)

She's a happy person. Very happy. I heard or read a very interesting story of how you met your wife.

(6:30 - 6:41)

Would you like to start with that? I'm Bolivian. I was at Harvard getting my business school degree. And I decided I wanted to go work outside the US.

(6:42 - 6:48)

The US felt too competitive. It's large, but very competitive. And I said, I want a country that's large.

(6:48 - 6:57)

I want there not to be a lot of competition. And I want there to be beautiful people. Because I wanted to get married.

(6:58 - 7:05)

Brazil. Top of the list. So I get a job offer with the number one private equity group in Brazil, the 3G guys.

(7:05 - 7:08)

They own Anheuser-Busch. They own Burger King. They're an amazing group of people.

(7:09 - 7:27)

But they made a condition for my hiring, which is I learned Portuguese. And I said, will you pay for it? And they said, of course. So I called my Brazilian friends and I said, find me a beautiful, smart Brazilian PhD or master's student and tell her I will pay her to talk to me.

(7:27 - 7:35)

Wow. And that first class, it actually was an environment like this. It was a well-lit environment.

(7:35 - 7:38)

We looked in each eyes. I was like smitten. I get home.

(7:38 - 7:47)

My best friend is Danish. His name is Lars. He looks at me and he says, what's going on? And I said, I met a really beautiful person.

(7:48 - 7:54)

And he says, you're going to marry her. And I said, no way. I was leaving.

(7:54 - 8:01)

She was here. And we made a bet. We bet $10,000 whether I was going to marry her.

(8:01 - 8:12)

And after we shook hands, he says, I changed my mind. If you marry her, I don't want $10,000. I want your firstborn to be named after me.

(8:14 - 8:21)

Lars Escobar. Not a good combination. So my daughter, Lara, is named after Lars and how I met my wife.

(8:21 - 8:35)

And my wife is a delightful person and a happy person. How is Bolivia, Martin, to live in? How is Brazil? How is Bolivia? I've never been to either of these countries. How is life like there? Very different.

(8:36 - 8:49)

So Bolivia in the 80s, Santa Cruz de la Sierra in the 80s, was a tough place. I mean, America is freaking out about 5% inflation. In the 80s, we had 35,000% inflation.

(8:50 - 9:04)

We had, in a 10-year period, we had 11 presidents. We had three coup d'etats, drug violence. It was a very, very tough place to grow up.

(9:05 - 9:18)

Bolivia is a divided country, very unequal country. But one with natural beauty, gorgeous people. But my experience growing up in the 80s was an experience of living in chaos.

(9:20 - 9:38)

Brazil, which I arrived in my 20s, soon followed by my beautiful Portuguese teacher, who became eventually my wife three years later, is a happy place. Maybe that also has to do with me becoming happy. It's not just Daniela.

(9:39 - 9:49)

Brazil has a happy vibe. I like to say the United States is like a salad bowl. They're all here, but they are Irish-American, Indian-American.

(9:49 - 10:00)

And Brazilian, we, and I say we because I identify as Brazilian, I became a Brazilian citizen. I dream in Portuguese. It's more of a soup.

(10:00 - 10:10)

All the vegetables kind of fused together. What is Brazil's GDP per capita? I know India is about $3,000. I'm going to get it wrong, but $7,000 to $8,000.

(10:11 - 10:40)

Right. I was going to come to this question later, but because you've been investing for as long as you have, what changes in an economy when GDP per capita crosses $3,000, and then what changes when it crosses $5,000 per capita? First, in the 3 to 5, consumption explodes. And I know you're big on consumption, and you've got your incubator, and I love that.

(10:40 - 10:48)

Right on, we're there with you. Consumer is a big part. From 5 to 10, health care and education explodes.

(10:49 - 11:12)

Because once you've got your refrigerator, once you've got your basic necessities done, once you're eating the foods you want to eat, the ultimate luxury is to not have to go to the public system of health care. The ultimate luxury is to afford your kids a better chance of becoming an entrepreneur, getting a better education. So you'll see those products rise further.

(11:13 - 11:24)

And what determines the scale at which this change happens? Good governance. India has it. Heavy investments in infrastructure.

(11:24 - 11:34)

The last 10 years have been amazing for India. Domestic savings. An equity culture.

(11:35 - 11:56)

People want to own equity, not a fixed income culture. How do you inculcate that? Role models. People who come from the bottom, without cutting corners, build amazing businesses and build wonderful lives, and they're not afraid to talk about it.

(11:57 - 12:17)

And they come on your podcast and they share that story, and that motivates a whole generation of kids that says, no, I don't want to go work for a multinational. I don't want to go work for the government. I want to take risk because I will be rewarded with a wonderful life and have the pride of having built something that impacts the world in a positive way.

(12:17 - 12:29)

So it's beautiful to see. It's happening in India, it's happening in Indonesia, it's happening in Mexico, it's happening in Brazil. I think there's something similar between an entrepreneur and a gangster.

(12:31 - 12:39)

So few of them make it. So many die early. The odds of success are so low.

(12:41 - 12:54)

Gangsters are celebrated via Hollywood, Bollywood in my case, and entrepreneurs via podcasts like mine. So you're the Bollywood of entrepreneurship. I understand your business model.

(12:57 - 13:03)

I wish it was a bit more of a business. Not yet, but maybe someday. Maybe it doesn't need to be a business.

(13:03 - 13:07)

Yeah, I think so. The best things are not businesses. Thank you very much.

(13:08 - 13:23)

I agree with that. I think the most fun things in life cannot start out with the sole intent of making money. That's a question I always ask my entrepreneurs.

(13:23 - 13:42)

Why are you doing this? Why is this meaningful to you? The answer is, I want to be rich. That's a lot less satisfying question than, I want to change healthcare in India. I want to bring affordable products to households in third-tier cities.

(13:42 - 13:56)

I want to bring efficiency to the financial sector and digital inclusion. Those answers are a lot more resilient. And what if I were to ask why again? Why do you want to bring healthcare? Then you get to the foundational story.

(13:56 - 14:12)

Which is? Your trauma. Everyone seeking validation and attention in one way or another? No, not necessarily. This is a controversial position that I have.

(14:12 - 14:26)

Based entirely on empirical evidence. Through my work and through my not-for-profit activities, I've met thousands of entrepreneurs. Hundreds, no, thousands that are successful.

(14:27 - 14:37)

The journey of an entrepreneur is so hard because like the gangsters, so many die. And I know you're going to agree because I've heard you agree. I'm preaching to the converted.

(14:38 - 14:47)

That's a disadvantage of having a podcast. It's so hard. And the odds are so low.

(14:47 - 15:06)

And you have to get up and fight nature every day for years. And only those that have done it know how hard it is. You've done it.

I've done it. You have to want it abnormally high. And my experience is that people who have the endurance are the people that have a chip on their shoulder.

(15:06 - 15:17)

Something happened along their journey. That they're wounded, traumatized, and they want to fix it. And the cure is the creation of something that didn't exist.

(15:18 - 15:48)

Are they wounded and do they want to fix it? Or something happened that created shame in their minds and they want to overcome that shame by suddenly being more validated than their fear groups? I don't think it's about validation and recognition. What is fixing a trauma? How does one fix a trauma? I get recognizing a trauma, but can you fix a trauma? A trauma can be anything. Your family lost everything.

(15:48 - 15:54)

Your mom died. You lost a brother to a disease. You were debanked, flooding.

(15:55 - 16:09)

And you couldn't do anything about it as a child. It created a deep wound in your psyche. It can be something that you and I may say is frivolous.

(16:10 - 16:20)

I was snubbed by the beautiful girl who liked the rich boy and I didn't have a car and he had a car. That's trauma too. So trauma is in the eye of the beholder.

(16:21 - 16:35)

If it hurt you, who am I to say your hurt is less deep than mine? Because hurt is hurt. So trauma is there was pain. Can you recognize what yours was exactly? Yes.

(16:36 - 16:56)

Yes. Part of it is intergenerational. You inherit the trauma of your parents because you see the pain in their lives and you feel it.

(16:57 - 17:10)

The family relationship. So my family and my father's side lost everything in the 1952 revolution violently. There was a peasant uprising.

(17:11 - 17:15)

My father was in the farm. 10,000 sheeps are slaughtered. The house is burned.

(17:15 - 17:32)

He has to plead for his life. And he goes from being extremely rich to dirt poor. And the rest of his life is hurt by the sense of paradise lost and commits to being a public service doctor in his life in rural Bolivia his entire life.

(17:33 - 17:52)

But that is hurt. And my mom, on my mom's side, there are Jewish refugees of Europe pleading the czar through centuries and experiencing anti-Semitism in Argentina, then moving to Bolivia. So loss and persecution in the case of my parents.

(17:52 - 18:07)

My own upbringing as a teen seeing chaos and shifting sands. You don't know where you stand. And a third one is I have a genetic condition that I bleed.

(18:08 - 18:23)

That is extreme fragility. What may be a casual bruise to you could land me in a hospital or could kill me. Now there's medication, so I have it controlled, but not when I was a kid.

(18:24 - 18:48)

So these three things impact me in a way that would be impossible not to have been affected. How do you think you overcame it? Through professional success? Action and analysis. Action is you see you can change a trajectory.

(18:49 - 18:57)

You see motion. You feel a sense of empowerment through small successes, whatever they may be. You get your first job.

(18:57 - 19:01)

You get your first promotion. You get your first couple of dollars. You build something.

(19:01 - 19:13)

You plant a tree and it grows. There's a sense of satisfaction and empowerment that you are capable of changing the world. And if you can change the world, you can change yourself.

(19:14 - 19:27)

Because we're all matter. We're just atoms floating in this giant universe at speeds that we can't feel. The other one, Arthur Brooks has this concept.

(19:27 - 19:41)

He says for self-knowledge, you have to do two of three things. Keep a journal, do therapy, or meditate. Do you keep a journal? Yes.

(19:41 - 19:50)

And you write into it every day? When I need to. There are periods of time I write multiple times a day and then I don't write for three months. But I've done it since I'm 11.

(19:52 - 19:59)

It's a beautiful record of a life. I highly recommend it. Very private.

(20:00 - 20:04)

No one has ever read it. No one will ever read it. No one should read it.

(20:05 - 20:11)

It's me being authentic with myself. Your dying wish would be to convert it into a book? No. That, no.

(20:12 - 20:25)

Though I did write one book, I read. What was it about? So when my internet company almost died, because the internet, you're too young. I was alive in the 2000s, I would say.

(20:25 - 20:43)

But you weren't an entrepreneur at the time. So in the valley of death, the moment of disbelief, I lost faith in my ability to create in the emerging markets. I thought Brazil is too hard.

(20:45 - 20:55)

And I thought about giving up. But I'm a nerd at heart. I said, how about I study this? Because if I look around, there are some people that have made it in Brazil.

(20:56 - 21:10)

I go jogging in the jardins. There are beautiful houses with very nice, happy-looking people that have done very well for themselves. So I partnered with my tutor from Winthrop House at Harvard and we wrote a book.

(21:13 - 21:24)

It's called Paired Company Analysis. It's a little bit like genetics. The question of, is it biology or is it the environment? You look at twins separated at birth that lived separate lives.

(21:24 - 21:29)

What do you think? Nature or nature? It's both. 50-50. Of course.

(21:33 - 21:49)

So we chose 10 companies who did extremely well in the 90s in Brazil, which were crazy. Not as crazy as the 80s in Bolivia, but pretty crazy. Change of currencies, coup d'etats, takeover of the banking system.

(21:49 - 21:55)

People lost their savings. Very, very traumatic. And these 10 companies multiplied value from 5 to 10 times.

(21:56 - 22:02)

And we chose 10 other companies who did extremely well in Brazil. And we chose 10 companies that were competing with them. And at the beginning of the decade, they were similar.

(22:03 - 22:17)

But at the end of the decade, one was five times more valuable. And we tried to draw insights of what the built-for-turbulence companies did really well that the other ones did not. And the insights are two.

(22:19 - 22:26)

The winners were more fit. They didn't necessarily do different strategies. The strategies were very similar.

(22:26 - 22:35)

They executed better. So they were more profitable, financially more healthy. Their teams were more agile.

(22:36 - 22:46)

But at the margin, that wouldn't explain a 5x difference. That would explain the difference between 20% margin and 30% margin. That's a 50% difference, not 500%.

(22:46 - 23:04)

The second component, I use the term spear phishing. They waited for a big opportunity, once in a generation opportunity, that typically only happens at the peak of the storm. Volatility has one advantage.

(23:05 - 23:25)

It's a storm that shakes everything. And if you're not as scared, and if you're fit, and you're waiting for the big fish, it is at the peak of the storm that the best transformative opportunities to pivot your business or to buy a competitor or to do some other change creates the once-in-a-generation 10x opportunity. Is this such a time? Yes.

(23:26 - 23:39)

You think we're in the peak of the storm? The reason I think this is an interesting time, funny anecdote. So growing up in Brazil, I saw Brazil progress. Brazil had a good 20 years when I was there.

(23:39 - 23:55)

And I dreamed of convergence between the US and Brazil. Both countries are made of immigrants, same land mass, rich in natural resources, and I thought they would converge. Convergence has happened, but in the opposite direction that I hoped.

(23:55 - 24:05)

The US has become a lot more volatile than it used to be. If you look at the VIX, it's at three times. The VIX is the volatility index, three times the average.

(24:06 - 24:23)

There's another index which I look a lot, which is the policy uncertainty index. What's the level of uncertainty of the rules of the game? The US is at an all-time high. So we live in a moment of extreme turbulence with two hot wars, one in Europe, one in the Middle East.

(24:24 - 24:44)

I think we are inevitably heading towards some kind of cataclysmic change because I think most people in the world, if you ask them, are very disillusioned. And whenever you have a large population that's disillusioned, people don't buy into the social order as it is. You spoke about multipolarity earlier.

(24:46 - 25:24)

Is the world becoming a more fragmented place? You think that's the future? I mean, I don't know if that's the future, but multipolarity, yes. India, for example, if India sees that one country is not being the same with them, they would try to look for plan B and plan C. So, I mean, yes, multipolarity is going to be a massive discussion in the future. But if it's going to give out a China-esque system where everyone has their own Google, etc., I don't think so because eventually the best will stand.

(25:25 - 25:40)

And as you mentioned, nationalizing that might be a case. So, I don't know. Then why is America as expensive as it is? There's very good reasons to buy America.

(25:40 - 25:54)

Which is? It's the most innovative economy in the world, self-sufficient. Pax Americana has produced a system of world trade and finance where the US is the captain. And it still attracts the world's brightest and most ambitious people in the world.

(25:54 - 26:12)

Half the unicorn founders are foreign-born but choose this country because in this country they believe they can be successful. International applications to the elite universities in the United States are down 20%. That is a leading indicator of losing some of what made you great.

(26:12 - 26:29)

I think it's temporary. I think we're living through a moment of adjustment. Some of the adjustments hopefully will lead to fairer trade, a safer Europe, more balanced and diverse viewpoints in universities.

(26:29 - 26:54)

But this moment of adjustment is one of great angst and anxiety. Because you guys are from different places, has the attractiveness of America gone down in the last three months or up? I think totally. I think that I know a lot of my friends from South Africa who were very excited to come and study in the United States.

(26:55 - 27:30)

And I think there's an uncertainty that exists in the air right now that makes it really difficult to invest your entire future in a country where not only you're unsure what is going to happen in terms of your own outcomes post your degree, but there's almost a certain sense that perhaps you aren't wanted. And that's difficult, right? And in a world that is still competitive for international talent, I think a lot of my friends are thinking, what if I go and study in Canada? What if I go and study in the UK? You gave me a book earlier today about Chuck Feeney. Tell us a bit about him.

(27:30 - 27:51)

So Chuck was a Navy man. He served in the U.S. Navy. And while serving, I think, in the Korea War, he observed something very unusual, which is very rich commerce happening at the Navy bases of the U.S. and the Pacific.

(27:52 - 28:04)

Because these bases were not Philippines or Vietnam, but they were not America either. So there was tax-free trade. And he says, we can do this in airports.

(28:05 - 28:24)

And he's one of the pioneers of the duty-free industry, creates a business called World Duty Free, which he sells to Louis Vuitton Group for a couple billion. And he's confronted with a wealth that he never thought. I'm sure you went through this.

(28:25 - 28:40)

And he's like, what is the purpose of my wealth? And his answer is a beautiful answer. He says, the purpose of my wealth is to improve the human condition today, not tomorrow. I'm not creating some foundation for perpetual giving.

(28:40 - 28:58)

I'm going to give it away, 100% of it, in life, because I want to see the fruits of my gifts. And the net present value of pain avoided is infinite. The net present value of misery avoided is infinite.

(28:59 - 29:22)

And my aspiration is that my last check bounces. And my ambition is, as I do less work over time, is to spend more of my time multiplying my wealth to philanthropic causes where I combine my wealth and my time, and multiply it that way. What percent I give out, I haven't thought it through.

(29:22 - 29:31)

But most people don't come to terms with mortality in a way. Like, maybe I'm wrong. I'm 39 now.

(29:32 - 30:01)

At my age, it almost feels like it's not a debate I'm having in my mind. I think I will live forever. So if my units of energy, like you said, are expended too early, like the person who started GA did, how do you make up your mind to give it away while you're alive, not knowing what happens tomorrow? Confucius has a saying that says, every man, he was politically incorrect.

(30:02 - 30:11)

He should have said every person, but he said every man. Every man has two lives. The second one starts when he realizes he only has one.

(30:13 - 30:26)

I came to that realization at 13. At 13? In a near-death experience I had, which I don't want to go into. But so the finitude of life hits you one day, and life will change.

(30:27 - 30:35)

Not when you think of it, you feel it. Then you say, OK, this is not forever. It happens to every person.

(30:36 - 30:57)

The sooner it happens, I think the richer your life can be. Ironically enough, I'm reading a book right now, which talks about the transition between Mao and Deng Xiaoping and how the Cultural Revolution came just after Confucius. There's a very interesting story.

(31:00 - 31:35)

Often, when Confucius is cited in society, we're on the precipice of changing from a capitalistic world to some form of socialism and communism. And like you spoke about Bolivia earlier, unequal, divided societies like we see today also very often lead to some form of socialism or communism. You think the world is there now? I think... And we all have amnesia.

(31:35 - 31:39)

We didn't grow up in Bolivia. We've never seen it. We've read about it in books.

(31:39 - 31:56)

Yeah. My crystal ball is not perfect, but extreme inequality in my book leads to either revolution or taxation. Extreme taxation in turn also leads to revolution.

(31:57 - 32:03)

Potentially. We're not there yet. So I think we do face that dilemma.

(32:04 - 32:18)

And by taxation, there are different... Trust busting by Roosevelt was a form of taxation. It's a major restructuring of the rules of the game for leveling a little bit. I would say I'm scared of a world where countries are less friendly to each other.

(32:19 - 32:26)

Who do you blame that on, if you had to? I think it has to do... It doesn't have to be a person. It could be an idea. Yeah, I'd say it's a phenomenon.

(32:26 - 32:44)

I think it's a phenomenon to do with just like economic instability and inequality. I think that people are looking for someone to blame as they've been seeing other people get richer and themselves being left out. Technology particularly has left out a lot of people.

(32:45 - 33:11)

And so as a result, people are kind of like, is it immigration? Is it all these other countries? And so as a result, they're rebuking. And I think that they're electing leaders who kind of know and recognize that. Yeah, I mean, I think the pushback part is why I think a turn towards something medieval or feudalistic is just as likely as a turn towards something socialist because there are interests that have a lot of power.

(33:11 - 33:32)

There are corporations and there are people that are very invested in the system continuing to be as it is or escalating to an even more unequal place. And I think it's very hard to overcome that. So I personally really, sorry, I really worry about the direction it will take.

(33:32 - 34:11)

Just out of curiosity, what was the debate you did with your parents when they voiced their belief

in communism? What was your argument? What did a young Martin argue? I did not debate it because I don't know better. And their arguments around what's the point of having money when most people in your country are in misery. What's the, how fair is a system where children are dying because they can't afford a $2 of medicine, which is what their reality.

(34:11 - 34:28)

I mean, they had meager salaries and they were buying medicines for the kids. So against that level of misery, socialism seems like a better system for a country like that as a teenager. Then I studied economics at Harvard.

(34:31 - 34:52)

So as a winner of capitalism, you changed your mind about communism? I think empirically we saw communist societies fall apart. 100%. People flirting with the notion that communism or socialism could work seems inevitable for many of the reasons we covered up until now.

(34:52 - 34:56)

Also because people don't remember anything. Humans are like goldfish. We forget.

(34:57 - 35:30)

Yeah. If I were to state, this might be a far extrapolated thought. If there are many pseudo autocratic states in the world that are invariably channelizing conformity in society, why should the colleges not be the same? Are they not just following the politics around them? The number one thing you learn in college is the capacity to critical think.

(35:31 - 35:41)

Critical of? Critical thinking. To have an opinion that is not necessarily the consensus opinion. To look at an issue and be able to analyze it.

(35:41 - 35:53)

But the best class I took at Harvard is a class on the Cuban Revolution. Which era is this? The revolution they describe is the revolution of 58. Fidel Castro.

(35:53 - 36:29)

And what was amazing about this class, it's not explicit, and the students that took it, it's taught every two years, are asked, please don't tell other students about the structure of the class. But the structure of the class is, you show up the first class on Tuesday, and you hear the story of some rebel terrorists who attack a military cartel in a little city, butchering and trying to overthrow the democratically elected leader of Cuba. And you're like, this seems awful.

(36:29 - 36:53)

These are savages. Thursday, he comes in and talks about the revolutionaries, the idealists, who are trying to unseat the illegitimate, cruel, torturous dictator. And he convinces you both days of his perspective without changing the facts.

(36:53 - 37:21)

What happened, the number of people, the chronology was exactly the same, but it's two perspectives on something that happened. That thought process of, there's two perspectives to every reality, and at the end of it, you need to choose what's your perspective, is one of the most important things you learn in a university that's trying to create the critical thinkers of tomorrow. So Harvard happened, and then? Spent two years in New York working in consulting.

(37:22 - 37:40)

Then I went to business school, also at Harvard, and decided I wanted to go into investing in Brazil. And that's how I landed in Brazil with my girlfriend at the time. Is it the Spanish teacher still? Portuguese teacher.

(37:40 - 37:45)

Portuguese teacher still? Yes. 28 years together. How long did you date before you were married? Three years.

(37:47 - 37:52)

I know you're not married. Yeah. I'm a voice from the future.

(37:52 - 38:03)

Yeah, maybe I need to learn Spanish. You know someone? I recommend Portuguese, but you can also learn Spanish. Let me give you the case for marriage.

(38:03 - 38:17)

Yeah. Let's say your life is an adventure, and you decide to make your life an adventure. And as you get further and further in that adventure, it's a rich adventure.

(38:17 - 38:38)

It's full of danger, surprise. It's full of rewards and joys and discoveries. If you took someone along, that journey is so much more meaningful because there was someone right next to you that saw the same things as you did.

(38:40 - 38:48)

And as you mature in life, that adventure wasn't just yours to see. You took someone along for the ride. I agree.

(38:48 - 39:10)

Someone said this to me recently, a very young Indian lady. She said, you would have scattered memories, nor would you have anyone to remind you of them because you then won't know who you made that memory with, which kind of appealed to me. I would go to dinner with her again.

(39:12 - 39:23)

If you end up marrying her, you're firstborn, Martín. Done. Because the odds are very low.

(39:25 - 39:39)

I thought the same. So tell us about your first entrepreneurial journey. You started this company before GA.

(39:39 - 39:58)

You want to talk to us a little bit about that? Sure. So it's the beginning of the internet. We think that the e-commerce opportunity in Brazil could be bigger than the States because the retail infrastructure, much like Flipkart in India, the retail infrastructure isn't there, so you can leapfrog.

(39:58 - 40:07)

And assortment is really hard. So we decided to create the Amazon of Brazil. And within the first year, we've opened in five countries.

(40:08 - 40:14)

We've opened in Argentina. We've opened in Mexico, Portugal, Spain. And we filed to go public.

(40:15 - 40:31)

And the market crashes three weeks before our IPO. And we can't raise any more money. We almost run out of money.

(40:31 - 40:40)

We shut down all the international operations. We fire a third of the Brazilian force. We have a near-death experience.

(40:41 - 41:03)

Our biggest competitor, which was the Walmart of Brazil, almost buys us for $25 million. We were worth $500 million pre-IPO, $25 million six months later. And at the altar, they say, you're worth more dead than alive to us, so we're walking away from the term.

(41:04 - 41:13)

And they leave us to die. And we decide not to die. We slid down to profitability, growth returns.

(41:14 - 41:24)

We go public and raise a lot of money. I go to the board and I say, hey, now we're doing well. We're profitable.

(41:26 - 41:38)

I think we should go international again. And what we learned the first time we went international is that small countries and big countries are equally hard. Every country is hard.

(41:39 - 41:45)

Let's go big. India. 2003.

(41:45 - 41:50)

Four years before Flipkart was founded. I said, I will go run it. Give me $200 million.

(41:51 - 41:58)

So I go to India and I'm committed. Danny, my wife, says, let's go to India. She's as crazy as I am.

(41:58 - 42:10)

What year was this? This is 2003, 2004. And as I'm getting ready, I'm looking for an apartment in Mumbai. Our competitor comes back and offers to buy us.

(42:10 - 42:14)

And we say no. And then they increase the price by 50%. And we say no.

(42:14 - 42:20)

And then they increase the price by another 25%. And my board says, we're saying yes. So we sold our business.

(42:21 - 42:33)

And that was a seven-year journey from early success to the valley of death to rebirth, almost going to India. Could have been great. Would have been a good time to come to India.

(42:34 - 42:38)

Four years before Flipkart. We would have been so early. Could have died.

(42:38 - 42:47)

I don't think we would have died. In a parallel world, I think what could have been if we hadn't sold. And I want to tell you a story.

(42:47 - 42:53)

Please do. This is about a young friend of mine called Aryan. He's here.

(42:54 - 43:12)

I think he was about 18 or 19 when I met him. Very bright, young kid from India moved to the valley, started a company in AI. And I thought you could teach both of us together.

(43:12 - 43:23)

So he will ask you what makes sense from the lens of a 20-year-old. And I'll ask you what makes sense from a 39 because I still don't want to say 40. I have a few months left.

(43:24 - 43:30)

Enjoy that. Another thing about Aryan. This is my personal agenda coming in again.

(43:31 - 43:48)

And Aryan has an issue. He told me the last time I saw him he's finding it hard to communicate with girls. I think it's a problem with society today because everybody is so hooked on to their devices.

(43:49 - 44:06)

And I thought why not make Aryan popular and see what changes in his personal life. So this will be interesting. So I'm going to call Aryan in and then you teach both of us and we will ask you questions from a 20-year-old and a 40-year-old's lens.

(44:08 - 44:11)

Hi. Hi Aryan. Nice to meet you.

(44:14 - 44:31)

So Aryan, let's start with the most important question. Since the last time we spoke, what has happened to your dating life? And this is all going to be public now. Yeah.

(44:34 - 44:43)

You're building a strategy about how to approach it. I'll start with the problems. And these are not huge problems but these are what I feel are problems.

(44:44 - 44:55)

And this is also, if it goes public then I've never spoken to my parents about this so this is how everyone finds out. I think, and this is partly a San Francisco problem. I think New York is a little bit different.

(44:58 - 45:06)

But like, and this is a controversy too. People debate this a lot. But I feel like people around me plus minus two years.

(45:09 - 45:30)

You're 21 now. Yeah. Are not, like in San Francisco specifically, I think the culture of doing things and like going out and being like open to, being approached and open to approaching is not what it used to be at least from what I hear.

(45:32 - 45:55)

And so even if you want to go approach people or if you are interested in dating or like engaging in like a social life, it's not very easy to do it in that part of the world. I think it helps when you don't think, I think the biggest thing is just the eight seconds of courage thing. You just do it when you think of it.

(45:55 - 46:02)

If you think more than eight seconds, you are not going to do it. And so. Where do you read this? I, this is somewhere.

(46:04 - 46:16)

And then, like I actually went to Brazil, which is there I did not have. Really? What is about Brazil? Like I've never been. There I think it's the exact opposite, which is everyone is open to being approached.

(46:17 - 46:26)

Everyone expects you to approach. It's maybe even weird if you don't approach if you've made eye contact with someone for a while. And so I think that that was actually very useful.

(46:27 - 46:38)

That was a transformational experience because I lost the fear and I realized that there's a different part of the world where this is normal. And if it can exist there, then you can make it exist here. It'll just take a lot of work and effort.

(46:39 - 46:45)

But I still have a long, I know that I have a long time, so I'm not in a rush. Don't over intellectualize this. Yeah.

(46:45 - 46:51)

It's a simple thing. No. Martin, what advice would you give him? Well, I've been out of the dating scene for 28 years.

(46:51 - 47:29)

I'm kind of rusty. The other reason outside of his dating life, which I hope this episode will solve to a large degree, is I think Aryan is particularly bright and I feel at different instances, I have learned something from him that I didn't expect. You know, often in life, people surprise you and you're like, why did I not think of it that way? And I think the age gap that we have between us, which is a lot, 18 years, is a couple of generations away.

(47:30 - 47:47)

It's not just the age gap. Clearly smart, but he experienced COVID in a way that's very different from us. Your generation got educated on YouTube.

(47:47 - 47:53)

Yes. Like no other generation because you were home. And primetime, like 9th grade to 7th grade.

(47:53 - 48:08)

And that's when you were doing your dating. You skipped that. So you were not distracted by dating and you're learning about the most obscure things in the world and then AI comes and you grow up with AI and you have all this time because you're not dating and you learn AI.

(48:09 - 48:22)

So it's not just the age gap. It's a very unique generation that experienced something that people that are 17 did not or people that are 23 did not. So you're very privileged of being deeply traumatized in very unique ways.

(48:24 - 48:36)

Why don't you give us like a two-minute background of yourself so everybody has context for people who don't know you. Yeah, so I grew up in Bombay. I was there for most of my high school until 11th grade.

(48:38 - 48:47)

And the last two years of that were in COVID. In that time, because I had a bunch of free time, I got interested in computers and tech. And so computers were just a fun thing.

(48:47 - 49:08)

I used to play games on it and stuff. And I started writing code in 6th, 7th grade. And then the first like serious thing I did was in that COVID phase when I was in 10th grade, I worked for someone who used to be like a CTO of a tech company, more as an intern, but it was my first real job where I did some real work.

(49:08 - 49:21)

And so I just went in like committed to a bunch of stuff that I didn't know how to do, but just figured it out on the job. And I used to go to school in the day, come back and just work for this guy. And I went on for maybe about a year.

(49:22 - 49:35)

What age is this? This is when I was 16, 15 and 16. When I worked for this guy and when I built these projects, my influence or my understanding of the startup world was mostly media that I consumed from the outside. I saw the social network.

(49:35 - 49:53)

I saw Silicon Valley, the HBO show like six times. It was the only thing I saw. And it was cool to see that there's a place in the world where nerding out about this stuff and being in a house with people like thinking about doing crazy things is appreciated and encouraged.

(49:53 - 50:08)

And so I wanted to find a way to come there, which is why even applying for the scholarship was motivation to come to the US because it felt like it was the right place to be. I used to cold email a lot of people even back when I was in India and mostly rejected. Once in a while, I got lucky.

(50:10 - 50:33)

And one of those like cold outreaches was the early OpenAI team and Sam Altman and a few other like founders. And I met them when I went to SIF and this was 2022. So this was before they were... So you cold emailed Sam Altman and he said what? I think the first message was just like... I sent something like this.

(50:33 - 50:38)

I'm 16 or 17. This is what I am interested in. I like all the stuff you've done at YC.

(50:39 - 50:45)

I use GPT-3. It's really cool. And like here's three bullet points of projects that I've built.

(50:45 - 51:00)

And if there's anything I can work on with you, like I would love to. And I think he took some time and then he responded I'm busy but let's keep in touch. And so nothing happened out of it but a line of communication was open.

(51:00 - 51:12)

And so when I went there, and I had to follow up multiple times but I think he agreed to meet me because I was just persistent. And it went long, like a little bit longer than we had planned for and very random. Like we spoke a little bit about work, a little bit about OpenAI.

(51:13 - 51:20)

And he gave me a bunch of advice around SF and how to live here and what to do, who to talk to, etc. Nice. So you are my co-host today.

(51:20 - 51:33)

We are both going to ask Martine questions. You from your lens, me from mine. So if you had a hundred billion and you had a blank slate, Martine is starting afresh.

(51:35 - 51:49)

No baggage from anything you did historically. Where the world sits today at the valuations of today, you have to allocate the hundred billion and you can only pick three industries. What would they be and why? The Martine Vision Fund.

(51:50 - 52:04)

The Martine Vision, but not the Vision Fund. Listen, I think there are four major ways transforming

our world. Transition to a digital economy, turbocharged by AI.

(52:05 - 52:12)

This is the biggest tsunami. The transition to digital is a 25-year wave. AI is a five-year wave.

(52:13 - 52:27)

They're one building on each other and that is fantastic. The second way is the transformation of the healthcare sector. Increasing capacity in the South and healthcare innovation to contain costs and treat the untreatable diseases in the West.

(52:28 - 52:43)

Also like export healthcare in a way. The third is energy transition away from fossil fuels. And if we needed a reminder of how fragile our dependence on fossil fuels, forget global warming, think Suez.

(52:44 - 53:01)

And the fourth one is the rise of the new consumer in the South. I think for the next 10, 20 years, these four forces will generate tremendous opportunity for anybody who wants to be an entrepreneur. When you say new consumer in the global South... It's your question.

(53:01 - 53:28)

What happens to consumption from 3,000 GDP to 5,000 GDP and 8,000 GDP? Do you suspect those new consumers will buy American products or native to their own countries? It will be very, very specific but the cost of launching a new brand has never been lower. The cost of distributing a new brand has never been lower. So the chances that local champions win have never been higher.

(53:28 - 54:16)

Would you say geopolitical tensions from a multipolar world will have inflation present at a rate higher than our historical past, which in turn leads to different kind of opportunities? The geopolitics will remain complicated for the next 10 years? I think geopolitics will remain complicated. And who will benefit from that? Which industry? It goes back to what I learned with volatility in Brazil in my book. If you're fit, if you have access to capital and you can move with agility, all this volatility becomes your friend.

(54:17 - 54:32)

And your friends at 3G are experts at this. Whenever there is fear, they are not fearful and they mobilize capital and resources and smart young people to capture opportunities. And they kind of

go all in, right? They go all in.

(54:32 - 54:40)

They don't do much, but they go all in each time they do. They're very focused, concentrated bets. You're also concentrated, but not as much as them.

(54:40 - 55:02)

Much less. Very different business. So amongst the trends that you mentioned, Martin, which would you rank as the biggest opportunity if the biggest one were to be one, the second biggest one were to be two, and then three and four? So listen, for your age, AI is a blue moon that happens every 25 years.

(55:03 - 55:17)

Probably longer. AI is the biggest thing since electricity. So yes, you're absolutely right to be playing with AI and God knows where you're going to end up, but it's moving at a rate of change that you are learning so much and you're reinventing.

(55:18 - 55:48)

By the time you're 35, you will have the experience of a hundred-year-old. So you're absolutely in the number ones for now. So when you say AI, out of the hundred billion you have now to start afresh, how much goes there and how would you pick which companies to allocate it to? If you think about the internet as a proxy, it did create some amazing companies.

(55:50 - 56:00)

Not right away. Not right away. And there was exuberance, irrationality, and valuations that were completely detached from reality.

(56:03 - 56:26)

Our approach as RGA, in the internet, there was a little bit of spray and pray and chasing the shiny objects. Didn't work out so well for us. Our approach for us today, given our scale experience and risk aperture is to be intensive users of AI in the portfolio and in ourselves.

(56:27 - 56:44)

And to wait until the unit economics and the leadership is a little more established before we pound. What have we learned? AI for coding productivity? Check. AI for marketing productivity? Check.

(56:45 - 56:57)

AI for customer service? Check. AI for automating repetitive rules-based process? Check. The services fall in that? To extend the repetitive rules-based processes? Check.

(56:59 - 57:11)

Amazing. 30, 50, 70% productivity gains. Adjentic services embedded to payments or software? Check.

(57:12 - 57:20)

You can monetize. All that is working. Among the LLMs, we waited, we waited, we waited, and then we saw anthropic inflect.

(57:21 - 57:29)

We're betting in a world model that does text-to-video called runway. So AI is fascinating. I wish I was 21.

(57:30 - 57:42)

So how much of the 100 bucks you have will go to AI? It will go up in time. But today? Today, about 10%, I think 15% of our capital is in AI. So 15 billion to AI? Yeah.

(57:43 - 58:10)

Aryan, what would you do? Same question from a 20-year-old's perspective. You have 100 billion to allocate. How much money does AI get? Is that your top investment? I don't know as much about other industries to be able to have a wide perspective, but I think in broad buckets, and this is a little personalized too, I would do maybe a little bit of healthcare, partly because I grew up in a family of doctors.

(58:11 - 58:19)

I appreciate how hard it is, how important it is. But how much would you do to AI alone? I think healthcare is also AI. I think it'll be like healthcare AI.

(58:19 - 58:42)

It's the new frontier because I think all these net new drug discovery bets where models are being used to come up with drugs or test them more efficiently, create these labs that the model comes up with something, but then you have a lab to run an experiment and do physical RL. I think those kinds of healthcare bets are interesting. Give me a number.

(58:43 - 59:11)

Healthcare AI, how much? I'm going to pull this up two years from now and make this a competition. I'll be like, which portfolio did how much? If I have to pick three buckets, I would maybe combine the healthcare into just, if it's 30-30-30 or something like that, I would really combine the healthcare thing with more just physical hard sciences, which includes, it could include robots. Humanoids are coming.

(59:11 - 59:24)

Humanoids are coming. No, unfortunately, I think the manufacturing skills in this country need a huge upgrade to be able to compete with China. In software, the US, I've been in the US a million times.

(59:24 - 59:47)

And your flat, it's a humanoid company, right? Yeah, it's called One X. And what do you see? What is your flatmate telling you? What stage are they at? I think the hardware has gotten a lot better in the time that we've been living together almost two years now. I think it's gotten a lot better in that time frame. I think the software is improving with it, but the software will have a step function improvement once they actually deploy it.

(59:47 - 1:00:02)

Because the best data is, I would assume, real usage data, where it comes from homes, real feedback. A lot of it is tele-operated right now because they need to get functioning and deployed into rooms. But I think a lot of them will start going into real homes end of this year.

(1:00:03 - 1:00:30)

It will be remote-controlled, but that's how Waymo started. I believe, having grown up with dogs or parents too, to transform human health, it's a wonderful objective. And how much would you allocate to that today, at today's valuation? Oh, a lot.

A third. Thirty-three? Yeah. Do you guys buy into the AI valuations of today? Because I know GA does a lot of AI.

(1:00:31 - 1:00:49)

If you had $100,000, which were your savings, how much would you allocate? I know you have more because you have a real estate. But, how much would you allocate to AI-related stuff today, at current valuation? I would go all in. Really? Even today? Even today, yeah.

(1:00:49 - 1:01:07)

I mean, I'm pretty bullish about the technology because I feel like this is not just technology. I feel

like this is also more geopolitical because I feel like any country that would get a hold on AI in the next few years, I think would have their next five, six decades sorted. The valuations are inflated, but they will get corrected.

(1:01:07 - 1:01:21)

But, this is a space that is here to stay. What do you guys think? You didn't agree? I think for me also, I wouldn't be looking at AI specifically. I'd be trying to think about what are the resources and things that are being used by AI the most.

(1:01:21 - 1:01:36)

So, I personally would probably invest more of that in things like energy and energy transition because even if the AI bubble is disrupted, there will be a need for that afterwards. So, I'm more interested in that. I know more about the space.

(1:01:36 - 1:01:47)

I believe in its long term anymore. So, that's where I would. I would say I keep it in cash or in like a high yield, you know, high yield savings interest bank account.

(1:01:48 - 1:01:55)

And I would hold on to it until valuations go down. I think we're in for a market correction. I'm going to come to the burning question of today.

(1:01:55 - 1:02:16)

Something relevant for India is we have a billion and a half people. We have more engineers than anywhere in the world. Because you've looked at India so closely, why do we not have a global company that has come out of India? Infosys potentially, you could say.

(1:02:16 - 1:02:22)

That's services. A global tech company. Actually, a global any kind of company.

(1:02:24 - 1:02:34)

I believe it takes a pioneer to create the role model effect. It can be done. There's access to capital.

(1:02:35 - 1:02:48)

Unfair access to human capital that's AI trained at the right time. You need the courage to do what has never done before. Why hasn't it happened though? We've had this for a long time.

(1:02:48 - 1:03:00)

I think in business services, I think the BPO companies are relatively global. They're more like a labor arbitrage industry. It's global.

(1:03:02 - 1:03:13)

Your capital markets are ready. I really believe in the role model effect. If you have one company that does it, it gives courage to others.

(1:03:13 - 1:03:23)

Like you have Newbank. It's a multi-country company. Why haven't we had that? You have Flipkart.

(1:03:23 - 1:03:28)

You have Fonpe. They all sell in India only. India is also 1.3 billion people.

(1:03:31 - 1:03:39)

You have the curse of domestic markets. The blessing of a humongous domestic market. Do you think that's what it is? It starts with that.

(1:03:42 - 1:03:54)

I asked the same question about Brazil. There are very few global. I'm actually very proud that we have a company called WellHub, which has become a global leader.

(1:03:55 - 1:04:04)

It's wellness benefits, corporate plan, app-based. You can go to any gym in the world. You should see them in your travel.

(1:04:04 - 1:04:12)

I'll hook you up. He had the courage to move to New York. He had the courage to hire a multi-country team.

(1:04:14 - 1:04:26)

He had the courage to invest heavily in this international expansion. I think when it goes public, hopefully, it will be an example that it can be done. It is uncomfortable.

(1:04:27 - 1:04:45)

It is uncomfortable to go to a new country and to build a multi-country team and to get out of the comfort zone. I must say conquering India is not a single country. The diversity in your country is beyond comprehension to anyone who hasn't traveled to your country.

(1:04:46 - 1:05:00)

It's not one country. It's an amalgamation of civilizations. I'm trying to find a solution to the problem that not too much foreign capital has found its way into India in the last year or year and a half.

(1:05:01 - 1:05:20)

Why is that? And what can we change? Because we really need that to happen. You're a capital allocator in the West. What would you need to park a lot more money into India? So, listen, we have allocated a lot of capital to India, an average of $5 billion.

(1:05:21 - 1:05:51)

We believe in India. India, over the last 10 years, with the help of someone you interviewed, has advanced. I'm asking more from the lens of what can Aryan do? What can I do? What can we do to get even Aryan to come back home? So the best thing you can do, the best thing you can do is be role models of hyper-successful people that took no shortcuts, that built partnerships, that played the long game, and that are not shy to talk about it.

(1:05:52 - 1:06:07)

Then do you think India justifies the 20 multiplicity set? Yes. Because? The potential. When I look at what... When I first went to China in 2000... China is cheaper than India, even today.

(1:06:07 - 1:06:20)

Well, China just has its own set of issues. They're coming out of its own set of issues. But when I look at the transformation of China, and what they've accomplished since 2025 years, it's breathtaking.

(1:06:21 - 1:06:30)

It's interesting. I told you about my dilemma of coming out of business school. I wanted a big country, not a lot of competition.

(1:06:30 - 1:06:38)

I thought of China. I actually visited China. At the time, the GDP of China was 20% bigger than that of Brazil.

(1:06:39 - 1:06:49)

Today, it's 14 times bigger. What did China get right? Listen, they industrialized. They built the infrastructure.

(1:06:50 - 1:06:57)

They embraced digital. They embraced manufacturing. They did export-led manufacturing, as they're calling card.

(1:06:58 - 1:07:23)

They have another advantage that if you don't have an election every five years, you don't make four-year plans, you make 40-year plans. I think your solution is going to have to be more nuanced and more custom-made for India, and the unique richness and traditions and complexities of your country. Now, I think you're in the right direction when I look at 8% growth for the last and for the next.

(1:07:25 - 1:07:33)

8% is a lot. 8% compounded over 10 years. So, be patient with your country.

(1:07:36 - 1:07:54)

When I allocate money, because I'm all-in on India, also because I need whatever little money I have from that country, I draw the extrapolation that at some point, we'll be a $10 trillion economy. It might not happen in five years. It might not happen in eight.

(1:07:54 - 1:08:24)

It might not happen in 10. And I'm kind of rebalancing my portfolio to reflect that in a manner where, strangely enough, my biggest allocation soon will be IT services and banking because of the moats these industries sit on. It's the most counterintuitive thing to invest in in an AI-first world, but somehow, for India, I feel like it makes sense.

(1:08:26 - 1:08:43)

And I can buy these companies at 12 times, 14, 15 times. Very well-run, large companies. Makes sense.

Very defensible. Very defensible. Aryan, how would you look at the same problem? I think a fair system where you know if you work hard and do what you're supposed to do, you can have the price.

(1:08:43 - 1:09:04)

That was promised. Is that true here? I think it's more true here than most other places. I'm less worried about, like, corruption or someone unduly getting access to something that they're not supposed to get access to because they paid their way through.

(1:09:05 - 1:09:10)

It still happens, but I think it's less. Like crony capitalism. Yeah, I think it's less.

(1:09:11 - 1:09:20)

I experience it less here. I think that's one. Second, I think these waves, like, with all this AI stuff, one of the reasons I like being here is because everybody else is here.

(1:09:20 - 1:09:48)

And so your access to other smart people or knowing when things are happening and acting on them, that time is, it's the shortest that it can be relative to anywhere else. And that, I think, is hard to recreate. Especially because if it is so concentrated and it's six companies that are funding all of this and four labs that are doing most of the work, then the areas around those labs, people who are living there, it will just, by design, all circulate in that small little bubble.

(1:09:49 - 1:10:15)

What could that wave be for India that can attract people? I think manufacturing maybe is interesting as a wave, at least that's what I thought from the little bit that I looked into. I don't know what else, especially, like, global things. I think these global tech waves are not, they happen very rarely, and this one is happening here, so it's hard to say which one will happen.

(1:10:15 - 1:10:21)

Maybe pharma and biology, like, happen there. India has a lead in pharma. We do a pretty good job.

(1:10:22 - 1:10:44)

There's the next evolution that happens there. Some things I find very intriguing about GA is its perpetual capital. So we have an unusual fundraising structure where we have standard funds that we launch every two, three years.

(1:10:45 - 1:11:19)

Then we have managed accounts that invest alongside these funds that are fundraising at any time. And then part of these managed accounts are evergreen, so they're always renewing so they can go forever. The evergreen is innovation because these are people that want to hold things for longer and are constantly renewing, but this idea of having standard funds and

simultaneously have managed accounts have the great advantage of smoothing out the fundraising cyclicality.

(1:11:19 - 1:11:33)

And you have a common pool where all the partners get paid? Yeah, that's a big thing. So we're the most global of funds. Most of our peers have regional or sectoral funds that are rather independent.

(1:11:33 - 1:11:46)

We allocate everything through a central pool. That's super valuable in a volatile world because you can change your mind and you're not fixed to your boxes. Part of making that work is pooled economics.

(1:11:47 - 1:12:09)

So when I was running Brazil, my comp wasn't based on what I produced in Brazil. My comp was a percent of the global production that over time if Brazil did well, the percent would go higher, but I'd have no incentive to push Brazil at the expense of other things that were very good. I interviewed the anthropic guy last month.

(1:12:09 - 1:12:13)

He's fantastic. One of my favorite people in the world. Really? Yeah.

(1:12:14 - 1:12:20)

Why is that? He's a biologist. Yeah. He's idealist.

(1:12:21 - 1:12:35)

He's built an amazing company. And if he does things right, I think history will remember him. And he's such a humble, idealistic person.

(1:12:35 - 1:12:37)

And young. He's 41. He's your age.

(1:12:40 - 1:12:49)

I feel very privileged to have met him. 39. Let me keep it for a few more months.

(1:13:02 - 1:13:12)

So quickly, we have two new friends on the table. I'm going to give you guys some time to

introduce yourself. Maybe, Florian, you would like to go first? Sure.

(1:13:12 - 1:13:25)

So first of all, thank you for inviting me for dinner. I'm Florian Brand. I started out as an entrepreneur many moons ago, like 15 years ago.

(1:13:26 - 1:14:02)

And due to, I guess, very personal experiences with seeing friends and family members developing very severe mental health disorders and not finding the help or healing that they were looking for, I started a mental health drug development company, a biotech company, Atai Life Sciences in 2017, 2018, with a goal to really make a true leap forward for mental health patients that often, to today's medication that is available, also therapy, don't respond very well. I'm going to ask you a tough question. Please.

(1:14:03 - 1:14:14)

Summarize what you do in one line. I'm a drug developer. Why do you smile when you say that? Because, I guess, you could read into this some controversial things if you want to.

(1:14:15 - 1:14:33)

Elaborate with another line. So my passion is really to bring better options, better treatment options to mental health patients. What I've learned about you in the little time we have spent together is you look unreasonably happy, like even right now.

(1:14:33 - 1:14:53)

So Andy is a new friend of mine. And what I have learned so far is he asks even more questions than I do. And he gets his jollies off by meeting new people, trying to, like, screw with their own minds.

(1:14:54 - 1:15:20)

So at the end of the night, after a dinner with Andy, you're questioning, are you depressed? What is the point of life? Where is your ego? Are you satisfied? Are you chasing validation? Are you seeking attention like everyone? Are you a narcissist? All of these questions. That's how I know Andy, whose real name is Anirudh. But maybe Andy can introduce himself now.

(1:15:21 - 1:15:27)

Thanks for that, Nikhil. Yes, my name's Anirudh. Physician by education.

(1:15:27 - 1:15:38)

Had my own health tech companies during COVID. Sold two of them. Wasn't sure what I wanted to do next and then started Karma Global Enterprise, which is named after my kids.

(1:15:40 - 1:15:56)

Today we are a venture capital group where we have two funds. Our first fund at 60 million, deploying in biotech, health tech, agnostic of specificities in biotech. And then we have our second fund at 120 million that we're raising.

(1:15:57 - 1:16:07)

Three days ago, he asked me, are you wearing lipstick? So you were close. Yeah, we got very intimate. And then I asked him why and he said, your lips are looking pink today.

(1:16:11 - 1:16:19)

And that's going to be viral. Not necessarily. So where are you? Where are you? No.

(1:16:21 - 1:16:44)

Last year I was reading a lot of Jung's work around synchronicity and you feel like everything is aligning and things are working out. And then when things start falling in place, similar to what you said, Nikhil, around the fact that now the next worry once things fall in place is to hold it all in place. So then you start to believe in fate.

(1:16:45 - 1:17:09)

Because? Because should you not, like we talked about in our conversation, should you not, then you worry that it may be taken away from you. By that logic, very successful people should be the most religious of people? That's not often the case though, right? True. But then you can also, one can argue if this is correlation or causal.

(1:17:10 - 1:17:29)

What do you think is synchronicity, according to Jung? According to Jung, synchronicity is, in the spiritual sense, it's when things line up. Like, for example, oh, you know, I really want to meet some great private market guy who can give me great advice on how to build a fund. And I'm walking down the street and I see him.

(1:17:30 - 1:17:36)

And I'm like, are you Martin? And then he's like, yeah, let's have a coffee. That would be synchronicity. Manifestation.

(1:17:37 - 1:17:49)

Do you believe in that? Ooh. I do believe in the power of manifestation. In that if you visualize what you want, you're deciding about what you want.

(1:17:50 - 1:18:08)

And that is more effective than the 8-second rule. You go for it. What's the 8-second rule? You know, we were talking about gold approaching and just saying the most useful framework that I've found is just go do it when you're thinking of it instead of thinking so much.

(1:18:08 - 1:18:19)

Yep. The honest answer is I still don't do it as much. Why not? Is it ego? No, I think there is a part of it which is I'm shy.

(1:18:21 - 1:18:26)

In certain social situations. I think these settings I'm very open to talking. That's a generational problem.

(1:18:27 - 1:18:31)

No, it's a him problem. I think it's his generation problem. I think you've got to make peace with your odds.

(1:18:32 - 1:18:37)

Like, not just your odds. For all men, me, him, him, him. Not him because he's married for a long time.

(1:18:37 - 1:18:39)

No odds. We're also married. Yeah.

(1:18:39 - 1:18:43)

We're also married. It's just you. Just you two.

(1:18:43 - 1:19:06)

There's a reason you're seated at the points of the table. Martin, I believe you guys, I don't know yet. When you say married, what do you mean? But I think the odds of a guy like yourself going up to a girl in a bar and trying to talk to her, the odds of success are as low as 1 in 1 out of 10, I think.

(1:19:07 - 1:19:22)

Or as any of us, the four of us. So if you truly make peace with that fact, then you start playing the maths, right? You're like, if I want to talk to five women, I need to ask 50 people out. You let that thought kind of sit in your brain.

(1:19:22 - 1:19:41)

I think then this exercise might become better. Everyone watching this right now is wondering what is the checklist for companies then? Okay, here's a checklist. Now, the interesting thing about the checklist is when I asked the co-founders of GA, one said checklist, the other one said do not use a checklist.

(1:19:42 - 1:20:08)

And my answer, my conciliation, I'm shortening the story, is the checklist is great for filtering noise, but at the end of the day, after you've done the work, the intuition overrides the checklist. In our checklist, where things that you should, in our experience, has been correlated with a lot of success is aim for huge markets. That's the number one predictor.

(1:20:08 - 1:20:15)

Try to solve a humongous problem. That's the size of your ceiling. That's the size of your dream.

(1:20:16 - 1:20:44)

Two, have a business model that creates economic value, and that value is defensible. It's not a temporary thing. So one of the problems with your idea of the service roll-ups is you reinvent tax filing accountants, and initially you have a huge advantage, but over time, five years, everybody has automated the process, and it gets eroded.

(1:20:45 - 1:21:06)

Now, if you create network effects, and you have a data advantage, your early lead leads to sustainable advantage because you use that first mover to create moat. So moat's number two. And number three is assemble a team, you have a team, that has the right capabilities for the company you want to become five years from now.

(1:21:08 - 1:21:22)

And you do that early. So those three things are correlated with breakouts. On the second point that you said, as an investor, you can wait a cycle to see how defensibility plays out.

(1:21:22 - 1:21:34)

You watch a few, you can pick the horse that wins. When you're building a thing, you are all in on one thing. You have one, and a lot of times, that defensibility might not be clear early on in the

cycle.

(1:21:36 - 1:21:47)

So two thoughts. First of all, you have a lot more time than you think. And that eagerness to get going.

(1:21:48 - 1:21:55)

God, you're 21. You have so much time. So you can afford to explore and experiment.

(1:21:57 - 1:22:10)

So don't rush. But two, the best laid plans of men can change when confronted with reality. Once you've chosen a lane, give it a full couple of years because you're going to learn so much.

(1:22:10 - 1:22:20)

So it's a little bit like, be patient, but then don't give up. You were going to ask. There's no case to fail early, just to finish that.

(1:22:21 - 1:22:28)

Oh, if you hit a dead end, yeah. How do you recognize a dead end? Oh, it's really hard. It's obvious in retrospect.

(1:22:30 - 1:22:40)

But you feel it. You keep hitting your head against the wall. It's hard.

It feels hard. It feels hard. You've been through some dead ends.

(1:22:41 - 1:22:50)

Eventually, it hurts, right? And you're like, okay, enough. It hurts too much. But when you reach that dead end, there is the emotional baggage of the people you have hired.

(1:22:50 - 1:23:00)

I was just speaking to a friend about this today. He's like, what happens to these 20 people, 30 people? I promised them this. So much money is already gone.

(1:23:00 - 1:23:21)

What will my investors say? How do you cope with that? It's a great question. And one of the toughest conversations is when you have to talk to people about you're in the dead end. But honestly, they're wasting their life energy in that dead end as well.

(1:23:23 - 1:23:37)

And I do think, you know, in my previous companies, we've gotten close. I do think it takes a separate level of integrity to hang the hat and say it didn't work. And the market will cycle.

(1:23:37 - 1:23:42)

It'll cycle. You might think it's the end of the world. What happened to these 20 people? My investors.

(1:23:43 - 1:23:49)

It's going to be my reputation in the market. It'll cycle. You just have to be patient.

(1:23:49 - 1:24:10)

I think one of the things when I was talking with Chamath when we were there was sometimes the game is just you have to stay long enough in the game. It's not about running fast and sprinting. You just have to keep being in the game long enough that it'll weed out all the noise.

(1:24:10 - 1:24:29)

And then you might be that signal. Once a founder fails, an entrepreneur fails, culturally in India, it's a bad thing. Culturally in, say, Israel, for example, they like the fact that somebody tried and failed, or maybe in the US.

(1:24:30 - 1:24:46)

Same holds true for Germany, by the way. I think that is currently in Europe, but also in Germany, a big thing that holds Europe back, the willingness to start and fail, try again. There's a huge cultural stigma.

(1:24:47 - 1:25:04)

I didn't know that actually about India. This is actually very true there. Do you think that's true, Martin? Are you more likely to fund a founder who has failed three times versus someone who has never tried? Listen, the failure creates scarce learnings.

(1:25:05 - 1:25:21)

How you fail and what you learned determines the answer to your question. If you fail because you cheated on the taxes, that is a line that's very hard. There are some mistakes that it's very hard as an investor to forgive.

(1:25:21 - 1:25:38)

It goes back to how do we create this positive dynamic? Now, how do we change this? It's when people like you talk about your failures. Successful people will talk. On the road to success, there were failures.

(1:25:38 - 1:25:45)

Very easy. I have so many. Exactly.

You should start. You have 20 million people listening right now. You know, I have a theory.

(1:25:47 - 1:26:06)

If I want the youth of India to change one thing, just one thing, is they need to stop thinking that changing their mind is some kind of hypocrisy. Agreed. Like hypocrisy has to move from a bad word to a good word.

(1:26:06 - 1:26:17)

I have a great phrase. When confronted with new facts, I change my mind. Don't you? When confronted with new facts.

(1:26:18 - 1:26:29)

It's not you just change your mind because today I like strawberry and next day I like lemon. I figured something out and it led to a change in posture. This is an alternative view.

(1:26:30 - 1:26:47)

Change is born only out of pain. It goes back to deeply traumatized people. You see the growth of China coming out of the Cultural Revolution like a rocket because that was a dramatic, painful experience.

(1:26:48 - 1:27:11)

But eventually that fades over generations. This country, unusually for this scale, gets a new wave of traumatized immigrants every year. And you look at time and time again, it is that generation of people that shakes things up and keep this society vibrant and fresh.

(1:27:11 - 1:27:36)

And I think it's critical to their continued success, is that you keep bringing fresh blood. In India, I think the urbanization, bringing rural people into the cities and they come hungry and they come with dreams and they come wanting to strive, has been an engine of development as well. How do you sustain that once you're done urbanization? That's another challenge.

(1:27:36 - 1:27:52)

I'm looking at a lot of this from India's lens because I'm selfish again. I'm thinking how to bring more G.E. money into India, how to get Aryan to come back into India, how to get, in this case, more people with foundational trauma to come into India. That's interesting.

(1:27:52 - 1:28:10)

So shouldn't you let in, say... So maybe if G.E. puts $2 billion in India, maybe... It's more than just capital, right? But I think you're doing a great job in your public profile. And I know being public, people think it's easy. No, it isn't.

(1:28:10 - 1:28:19)

It is a huge price you pay. The end of privacy is a one-way street. But you are being a role model.

(1:28:19 - 1:28:27)

You are, now with your international audience, talking about India, bringing the issues. I think you're doing your part. That's part of it.

(1:28:28 - 1:28:33)

And it takes time. My ego is getting fed now. Thank you for validating.

(1:29:03 - 1:29:27)

And when you all are done making money, you come to my market, the public market, and you offload really expensive price-to-market equity on unsuspecting people like me and colleagues of mine who are in the retail ecosystems in public markets. Do you think that's fair? I think it's happening with AI right now. That's why I'm asking.

(1:29:34 - 1:29:41)

I don't know if it's fair. But from a venture side, I took the deal first. I trusted Aryan to say, I think that kid has something in him.

(1:29:42 - 1:29:50)

I'm ready to bet on that horse. By the time the horse comes to you, it's won a couple races. Of course the price is going to be a little jacked up.

(1:29:50 - 1:30:01)

Whether it's going to perform again might be the 10th race that breaks the horse. That's my point of view. Fair is a tricky word because we have free will.

(1:30:01 - 1:30:19)

And the further along Aryan is on his journey, the less risk we have. The more we know, there's more data. And if he's gone public, yes, for the successful companies, a little less return, but a lot less risk.

(1:30:20 - 1:30:45)

Now, it's very important in any market to have a combination of retail investors and very sophisticated institutional investors who have more resources to just make sure he's doing what he's supposed to be doing. No, I presented my question in a certain manner just for effect. I think we need 100 times more risk capital in India.

(1:30:46 - 1:30:52)

Yes. From people like Martin, from people like Andy. Florian can bring in German money and Aryan can move back.

(1:30:54 - 1:31:07)

And then is Nikhil, what is Nikhil doing in all this? He's collecting his market commission. And then the news reads, Nikhil Karnath brings investment back to India. He wins in every transaction.

(1:31:09 - 1:31:39)

What else, guys? Anyone have an interesting idea they'd like to share? I was going to say something on the public piece, which is, like, now you don't have to go public, right? Because there's enough money in the private markets. I think that's maybe net negative versus this. There is a little bit of this dump effect where sometimes companies go public at a crazy price and then over time it'll correct down and then maybe they build back up, maybe they'll never go back.

(1:31:39 - 1:32:05)

The 2021 wave was mostly like that. But there's also a lot of people who would like Stripe, but they probably will never get Stripe. And that trade-off is not... I don't know what the right answer to that is, but it seems that it's net not great for normal people to not have access to things like Stripe.

(1:32:06 - 1:32:17)

I agree. Waiting till you're a trillion dollars, like SpaceX, to go public? Seems like a long time. Your friend Elon Musk.

(1:32:18 - 1:32:38)

But I think I worry about so much accumulation of wealth is happening in between 10 companies. Yes. I think if it happens to a degree of 10 from here, it is but a matter of time before people get so angry that these companies have to be nationalized.

(1:32:39 - 1:32:51)

The greatest antidote against monopolies is young revolutionaries that take on the monopolies. Young company. I'm kind of done with questions.

(1:32:51 - 1:32:59)

A lot of very insightful stuff. This was really fun. I love this format.

(1:32:59 - 1:33:16)

I love the intergenerational, intercultural. Can we end by answering the most important question of the day? How will Aryan find his girlfriend? What have you learned? You've had three wise men give you great advice. Very different.

(1:33:18 - 1:33:34)

Combined. I think the only actionable one that I took over was I'm still doing things wrong and I should just go approach more and not worry about the odds of what they are and then just let the math play out, which doesn't sound like a good... It's not very comforting. That was my advice.

(1:33:34 - 1:33:37)

Yeah. But it's not very comforting. But thank you guys.

(1:33:37 - 1:33:40)

Thank you everyone for doing this. Thank you for the meal. Thank you.

(1:33:40 - 1:33:43)

This was lovely. Nice to meet you all. Thank you.

(1:33:43 - 1:33:44)

Thank you.